



| DSCR ≥1.000                      |                                                                                                                                                                                                                                                                                                                                                                                          |          |           |          |
|----------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|-----------|----------|
| Credit Score (FICO)              | Max Loan Amount                                                                                                                                                                                                                                                                                                                                                                          | Purchase | Rate/Term | Cash-Out |
| ≥740                             | 2,500,000                                                                                                                                                                                                                                                                                                                                                                                | 80       | 75        | 75       |
| ≥720                             | 1,000,000                                                                                                                                                                                                                                                                                                                                                                                | 85       | 80        | 80       |
|                                  | 1,500,000                                                                                                                                                                                                                                                                                                                                                                                | 85       | 80        | 80       |
| ≥700 - 719                       | 1,000,000                                                                                                                                                                                                                                                                                                                                                                                | 80       | 75        | 75       |
|                                  | 1,500,000                                                                                                                                                                                                                                                                                                                                                                                | 80       | 75        | 75       |
|                                  | 2,000,000                                                                                                                                                                                                                                                                                                                                                                                | 75       | 70        | 70       |
|                                  | 3,000,000                                                                                                                                                                                                                                                                                                                                                                                | 70       | 65        | 65       |
|                                  | 3,500,000                                                                                                                                                                                                                                                                                                                                                                                | 70       | 65        | NA       |
| ≥660 - 699                       | 1,000,000                                                                                                                                                                                                                                                                                                                                                                                | 75       | 75        | 70       |
|                                  | 1,500,000                                                                                                                                                                                                                                                                                                                                                                                | 75       | 70        | 70       |
|                                  | 2,000,000                                                                                                                                                                                                                                                                                                                                                                                | 70       | 65        | 65       |
|                                  | 2,500,000                                                                                                                                                                                                                                                                                                                                                                                | 70       | 65        | 65       |
|                                  | 3,000,000                                                                                                                                                                                                                                                                                                                                                                                | 65       | NA        | NA       |
| ≥640 - 659                       | 1,000,000                                                                                                                                                                                                                                                                                                                                                                                | 75       | 70        | NA       |
|                                  | 1,500,000                                                                                                                                                                                                                                                                                                                                                                                | 65       | 65        | NA       |
|                                  | 2,000,000                                                                                                                                                                                                                                                                                                                                                                                | 65       | NA        | NA       |
|                                  | 3,000,000                                                                                                                                                                                                                                                                                                                                                                                | 60       | NA        | NA       |
| DSCR Bucket ≥0.750 - 0.999       |                                                                                                                                                                                                                                                                                                                                                                                          |          |           |          |
| Credit Score (FICO)              | Max Loan Amount                                                                                                                                                                                                                                                                                                                                                                          | Purchase | Rate/Term | Cash-Out |
| ≥700                             | 1,000,000                                                                                                                                                                                                                                                                                                                                                                                | 75       | 70        | 70       |
|                                  | 1,500,000                                                                                                                                                                                                                                                                                                                                                                                | 75       | 70        | 70       |
|                                  | 2,000,000                                                                                                                                                                                                                                                                                                                                                                                | 70       | 65        | 65       |
|                                  | 2,500,000                                                                                                                                                                                                                                                                                                                                                                                | 65       | NA        | NA       |
|                                  | 3,000,000                                                                                                                                                                                                                                                                                                                                                                                | 60       | NA        | NA       |
| ≥680 - 699                       | 1,000,000                                                                                                                                                                                                                                                                                                                                                                                | 70       | 65        | NA       |
|                                  | 1,500,000                                                                                                                                                                                                                                                                                                                                                                                | 70       | 65        | NA       |
|                                  | 2,000,000                                                                                                                                                                                                                                                                                                                                                                                | 65       | 60        | NA       |
|                                  | 3,000,000                                                                                                                                                                                                                                                                                                                                                                                | 60       | NA        | NA       |
| ≥660 - 679                       | 1,000,000                                                                                                                                                                                                                                                                                                                                                                                | 65       | NA        | NA       |
| Property LTV Caps                | Max Loan Amount                                                                                                                                                                                                                                                                                                                                                                          | Purchase | Rate/Term | Cash-Out |
| Condotel                         | 1,500,000                                                                                                                                                                                                                                                                                                                                                                                | 75       | 70        | 70       |
| Rural Property                   | 2,500,000                                                                                                                                                                                                                                                                                                                                                                                | 75       | 70        | 70       |
| Short Term Rentals               | 3,000,000                                                                                                                                                                                                                                                                                                                                                                                | 80       | 75        | 75       |
| Vacant (Long Term Rental)        | 3,000,000                                                                                                                                                                                                                                                                                                                                                                                | •        | 70        | 70       |
| Loan Characteristics LTV Caps    | Loan Amount                                                                                                                                                                                                                                                                                                                                                                              | Purchase | Rate/Term | Cash-Out |
| Loan Amount / MIN DSCR ≥1.000    | 100,000 - 149,999                                                                                                                                                                                                                                                                                                                                                                        | 70       | 70        | 65       |
| Interest Only Program / MIN 680  | 3,500,000                                                                                                                                                                                                                                                                                                                                                                                | 75       | 75        | 70       |
| TOTAL DSCR QUICK REFERENCE GUIDE |                                                                                                                                                                                                                                                                                                                                                                                          |          |           |          |
| Minimum Loan Amounts             | Standard: \$150,000 - No LTV Adjustments • Loan Amounts From \$100,000 - \$149,000 Max LTV/CLTV 75% Purchase / 70% Refinance                                                                                                                                                                                                                                                             |          |           |          |
| LTV/CLTV                         | CLTV can not Exceed LTV                                                                                                                                                                                                                                                                                                                                                                  |          |           |          |
| Occupancy Type                   | Investment (Investor, Non-Owner Occupied, Business Purpose Loans) Only                                                                                                                                                                                                                                                                                                                   |          |           |          |
| Property Types w/No LTV Adjustm  | Single Family (SFR) • 2-4 Units • Condominiums (Condo) • Non-Warrantable Condo (NW-Condo) • PUD • Row Home • Townhome                                                                                                                                                                                                                                                                    |          |           |          |
| Fixed Rate Product Terms         | 15, 30, 40 Years                                                                                                                                                                                                                                                                                                                                                                         |          |           |          |
| Interest Only Product Terms      | 40yr AM / 30yr Fixed • 30yr AM / 20yr Fixed • First 10 Years I/O then converts to a (30 or 20 year fixed rate based on the AM)                                                                                                                                                                                                                                                           |          |           |          |
| Seasoning Rate / Term Refi:      | Owned 0 - 6 Months use Lesser of Purchase Price + Improvements (or) Appraisal • >6 Months use the current Appraised Value                                                                                                                                                                                                                                                                |          |           |          |
| Seasoning Cash-Out Refi:         | Owned for 0 - 6 Months use Lesser of Purchase Price + Improvements (or) Appraisal • >6 Months use the current Appraised Value                                                                                                                                                                                                                                                            |          |           |          |
| Seasoning Recent Renovation:     | If the Property was Purchased for a renovation (Reno) & Renovated by the evidence in the Appraisal and has a SSR of 2.5 and Below - use the current appraised value under (6) months ownership. See Cookbook ore contact TQL sales for more details                                                                                                                                      |          |           |          |
| Score • Tradeline Requirement    | Use the Highest Representative Score of the Borrower(s) or Guarantor (s) • If Borrower/Guarantor has three (3) credit scores then No minimum tradeline requirements • Min: 2 reporting 24-months w/activity in last 12- months or 3 reporting 12-months w/recent activity                                                                                                                |          |           |          |
| Housing Payment History          | One 30 day late in the last 12 months (1x30x12) -No reduction to LTV • Unlimited 30 day lates but not a 60 day late in the last 12 month (0x60x12) - Max 70% LTV Purchase & Max 65% LTV Refinance • > 1x60x12 Not Eligible                                                                                                                                                               |          |           |          |
| Credit Event Seasoning           | BK/FC/SS/DIL/Pre FC/MC • >=36 Months -No reduction • >=24 - 35 Months - Max 75% LTV Purchase & Max 70% LTV Refinance • Forbearance, Modification, or Deferral payments must be > 12 Months                                                                                                                                                                                               |          |           |          |
| Investor Experience / FTHI       | Experienced Investor is defined as owning and managed real estate for at least 1 year in last 3 years. (No restrictions)<br>• First lime investors eligible subject to the following:<br>• Must own a primary residence (Spouse on Title Allowed) - FTHB Not Allowed<br>• Min Score: 700 / 0x30x12 / >36 Months from any credit event<br>• DSCR > 1.000 / 2-4 Units Not Allowed for FTHI |          |           |          |
| Max Cash-In-Hand                 | LTV>65.01% Max \$500,000 • LTV<65.00% Max \$1,000,000 • (Not applicable to Delayed Financing transactions)                                                                                                                                                                                                                                                                               |          |           |          |
| Appraisals Requirements          | Standard FNMA Form 1004, 1025, 1073 with interior/exterior inspection • Loan Amounts > \$2,000,000 must have a 2nd Appraisal • CDA/Appraisal review product required Unless 2nd appraisal is obtained                                                                                                                                                                                    |          |           |          |

**TOTAL DSCR QUICK REFERENCE GUIDE - CONTINUED**

|                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
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| <b>Acreage</b>                                      | DSCR Program allows for up to 5-acres (NonQM Program TQL allows up to 20-acres)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Purchase DSCR Cash-Flow Calculation Methods</b>  | <p>Purchase: Long-Term Rental (LTR) Documentation</p> <p>Purchase Transactions:</p> <ul style="list-style-type: none"> <li>Monthly Gross Rents are the monthly rents established on FNMA Form 1007 or 1025 reflecting long term market rents, tenant occupied must be marked</li> <li>If the subject property is currently tenant occupied, the 1007 or 1025 must reflect the current monthly rent. Monthly gross rent is to be evaluated for each unit individually.</li> <li>Units subject to rent control or housing subsidy must utilize current contractual rent to calculate DSCR.</li> </ul> <p>-</p> <p>Purchase: Short Term Rental (STR) Cash-Flow Documentation</p> <ul style="list-style-type: none"> <li>AirDNA Rentalizer/Property Earning Potential Report accessed using the Explore Short-Term Rental data, must meet the following: <ul style="list-style-type: none"> <li>Rentalizer (Property Earning Potential Report) Allowed for valuation of rents on purchase transaction only</li> <li>Gross rents equal the revenue projection from the Property Earning Potential Report less the 20% extraordinary expense factor</li> <li>Forecast period must cover 12-months and dated 90-days within the Note date</li> <li>Maximum occupancy limited to 2 individuals per bedroom</li> <li>Must have three (3) comparable properties similar in size, room count, amenities, availability, and occupancy</li> <li>Market Score or Sub-Market Score must be 60 or greater as reflected on the Property Earning Potential Report.</li> </ul> </li> <li>- Seller Actuals: The most recent 12-month rental history statement from the 3rd party rental/management service.</li> <li>The statement must identify the subject property/unit, rents collected for the previous 12-months, and all vendor management fees. The qualifying income will be based on the net income provided from the report.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>Refinance DSCR Cash-Flow Calculation Methods</b> | <p>Refinance Transactions: Long Term Rental (LTR)</p> <ul style="list-style-type: none"> <li>Executed lease agreement/* Leases that have been converted to month-to-month are allowed</li> <li>If lease agreement is not provided, LTV/CLTV is limited to the lesser of 70% or the Max LTV/CLTV allowed per the TQL DSCR Matrix.</li> </ul> <p>Vacant property as indicated on the appraisal is allowed subject to the following:</p> <ul style="list-style-type: none"> <li>LTV/CLTV limits: Lesser of 70%, or the LTV/CLTV based upon the DSCR/FICO/Loan Balance Matrix.</li> <li>Monthly Gross Rents are determined by using the actual lease amount or estimated market rent from Form 1007/1025.</li> <li>Monthly gross rent is to be evaluated for each unit individually.</li> </ul> <p>*Unit subject to rent control or housing subsidy must utilize current contractual rent to calculate DSCR.</p> <p>-Refinance Transactions: Short Term Rental (STR)</p> <p>LTV/CLTV <math>\geq</math> 70.01%: Minimum 12 months property seasoning required with the most recent 12 months documented rental history using one of the following methods:</p> <ul style="list-style-type: none"> <li>Statement from the 3rd party rental/management service clearly identifying: Subject property/unit, Rents collected for previous 12 months, Management/Vendor fees</li> <li>Qualifying income will be the gross income less a 20% expense factor or the net income provided from the report.</li> <li>Most recent 12-month bank statements from borrower/guarantor evidencing short-term rental deposits. Borrower/guarantor must provide a rental record report outlining all costs associated with managing the subject property supporting the monthly deposits.</li> </ul> <p>Qualifying income will be the lesser of: Net income listed on the report, Actual calculated deposits, Gross income less a 20% expense factor</p> <p>LTV/CLTV &lt; 70.00%: Form 1007/1025 may be used or a Rental Analysis completed by a licensed appraiser including: Source data used to complete the STR analysis, Comparable STR rent schedule focusing on: Room count, Gross Living Area (GLA), Location &amp; Market appeal and include Daily rental rate and occupancy percentage report factoring seasonality and vacancy into the report.</p> <ul style="list-style-type: none"> <li>Statement from the 3rd party rental/management service (or) Vendor clearly identifying: Subject property/unit, Rents collected for previous 12 months, Management fees</li> <li>Qualifying income will be the lower of: 20% expense factor or Net income provided from the report</li> <li>Most recent 12-month bank statements from borrower/guarantor evidencing short-term rental deposits with a detailed rental record for the subject property to support monthly deposits being used</li> </ul> <p>*When STR income is documented using multiple sources, the lowest source of monthly income must be utilized.</p> |
| <b>DSCR Calculation Methods</b>                     | <ul style="list-style-type: none"> <li>Long Term Rents: (Monthly Rents from form 1007/1025 or Actuals) divided by the PITIA (or ITIA) of the subject property.</li> <li>Gross rents divided by PITIA = DSCR, ITIA: Gross rents divided by ITIA = DSCR Short-Term Rental</li> <li>Short-Term Rental (e.g., Airbnb, VRBO, Flip Key): PITIA Calc: (Gross Rents *.80) divided by PITIA = DSCR, ITIA: (Gross Rents *.80) divided by ITIA = DSCR, PITIA Calc: (NET Rents) divided by PITIA = DSCR, ITIA: (NET Rents) divided by ITIA = DSCR</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>PITI Reserves</b>                                | Min 2-months of PITIA • > \$1.5M: 6-months • > \$2.5M: 12-months • Cash-Out funds can be used to Satisfy Reserves                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Assets Seasoning</b>                             | Minimum of 30-days asset verification required                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>Seller Concessions</b>                           | Maximum 6% w/ LTV/CLTV $\leq$ 80% • 1% w/ LTV/CLTV > 80.01%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| <b>Gift Funds</b>                                   | Allowed after min 10% Borrower Contribution                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| <b>Prepayment Penalty</b>                           | <ul style="list-style-type: none"> <li>Maximum Term: 5 Years • Acceptable Prepayment Fee Structures: 5%, 3% (Min 3yr Term), 6 Months Interest Payments, Stepdown 3yr Min 3%-2%-1%, 1 Year Prepay Term will require a 5% Prepay Fee • States that do not allow for a Prepay Penalty will be priced with NO Prepay: Penalties not allowed in AK, KS, MI, MN, NM, and RI</li> <li>State Specific: IL &amp; NJ - Declining Prepay Fee Structure Only (3yr 3-2-1) OR NO Prepay- On Loans vested in a Individuals Personal Name in IL and NJ / Penalties not allowed on loan amounts less than \$320,00 in PA / Penalties on 1-2 unit properties cannot exceed 1% of the loan Amount in the First 5yrs for the State of OH</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Escrows Account Setup</b>                        | Escrows may be waived, see Full TQL Cookbook for additional Escrow/Impounds requirements                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |